

Impact Assessment of CLSS vertical under PMAY (U)

Proposal to Ministry of Housing and Urban Affairs
(MoHUA)

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Quality Council of India

(An autonomous body set up by
Ministry of Commerce & Industry, Govt. of India)

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1. BACKGROUND

In urban India, inadequate housing and lack of basic amenities have long been pressing issues, particularly affecting the urban poor and people belonging to the middle class. Families residing in the informal settlements, slums, and dilapidated structures often struggle to access clean water, sanitation facilities, and reliable electricity. Recognizing this challenge, the Government of India initiated the Pradhan Mantri Awas Yojana (Urban) - Housing for All Mission (PMAY-U) in June 2015.

PMAY-U was launched with the primary objective of providing affordable housing to all eligible beneficiaries in the urban areas by 2022. The mission aimed to address the problem of urban homelessness and inadequate living conditions by ensuring access to basic amenities such as toilets, water supply, and electricity for every urban household.

The components of PMAY-U were designed to cater to different segments of society and address various housing needs, which are as follows:

1. Beneficiary Led Construction/ Enhancement (BLC)
2. Affordable Housing in Partnership (AHP)
3. In-situ Slum Redevelopment (ISSR)
4. Credit Linked Subsidy Scheme (CLSS)

Through these verticals, PMAY-U seeks to empower Economically Weaker Sections (EWS), Low-Income Groups (LIG), Middle-Income Groups (MIG), and vulnerable populations by providing them with affordable and dignified housing options.

2. ABOUT CREDIT LINKED SUBSIDY SCHEME (CLSS)

The Credit Linked Subsidy Scheme (CLSS) component under the Pradhan Mantri Awas Yojana (Urban) has emerged as a pivotal intervention in addressing the housing needs of EWS, LIG and MIG in urban India. Since its inception, CLSS has made significant strides in providing financial assistance to eligible beneficiaries, thereby facilitating their journey towards home-ownership.

As of the present date, CLSS has successfully reached out to 25 lakh beneficiaries, with funds exceeding ₹58,000 crore sanctioned and released. The scheme operates through Central Nodal Agencies (CNAs) such as the Housing and Urban Development Corporation (HUDCO), National Housing Bank (NHB), and State Bank of India (SBI), in collaboration with Primary Lending Institutions (PLIs) and Housing Finance Companies (HFCs).

Beneficiaries falling under different income categories are eligible for varying levels of interest subsidy, ranging from 6.5% for EWS/LIG to 3% for MIG-II, on housing loans up to specified amounts. The CLSS not only reduces the effective housing loan and Equated Monthly Instalment (EMI) but also encourages incremental housing and new construction projects. Additionally, the CLAP portal has played a crucial role in streamlining processes and reducing grievances within the CLSS vertical.

In a recent development, the Hon'ble Finance Minister announced the government's intention to launch a scheme aimed at assisting deserving sections of the middle class, including those residing in rented houses, slums, chawls, and unauthorized colonies, to purchase or build their own houses. This upcoming scheme underscores the relevance and importance of leveraging the insights gleaned from the CLSS experience for effective implementation.

The proposed impact assessment of CLSS, to be conducted by the Ministry of Housing and Urban Affairs (MoHUA) in association with the Quality Council of India (QCI), aims to delve into various aspects of the scheme, including affordability, accessibility, and socio-economic impact on beneficiaries. By collecting and documenting socio-economic impacts and assessing the effectiveness of implementation processes, the study endeavors to provide pragmatic recommendations to enhance the efficiency and effectiveness of such schemes. It also plans to capture the challenges faced by stakeholders and interventions required to improve the home loan process across urban India.

3. ABOUT QUALITY COUNCIL OF INDIA (QCI)

The Quality Council of India (QCI) has been set up as a non-profit autonomous society registered under Societies Registration Act XXI of 1860 to establish an accreditation structure in the country and to spread quality movement in India by undertaking a National Quality Campaign.

QCI was established by the Government of India together with the Indian Industry represented by the three major industry associations: ASSOCHAM, CII and FICCI. The Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry is the nodal point for all matters related to QCI.

The Council was established to create a mechanism for third party assessment of products, services and processes. In tune with the international best practices, it was envisaged that the Council would ensure that the quality of life of citizens is improved. It was therefore befitting that the Council was organized as an Independent Professional body with representation from the government and the industry, and with its own rules, powers and functions strictly as per the MoA of the Society.

The National Accreditation Board for Certification Bodies (NABCB), a constituent Board of QCI, is the apex national accreditation body which provides accreditation to Certification as well as Inspection Bodies in accordance with ISO Standards, international requirements / guidelines and NABCB Accreditation Criteria. Its objective is to promote acceptance of India's certifications and inspections internationally.

The National Accreditation Board for Testing and Calibration Laboratories (NABL) is another constituent board of QCI that accredits laboratories across scopes. NABL is a Mutual Recognition Arrangement (MRA) signatory member of APAC (Asia Pacific Accreditation Cooperation) and ILAC (International Laboratory Accreditation Cooperation) since 2000.

NABL in the year 2016 achieved the APAC MRA signatory status for Proficiency Testing Providers (PTP) and Reference Material Producers (RMP) schemes along with extension in the existing fields of Testing, Calibration and Medical till December 2020. In October 2019, NABL has also obtained ILAC MRA for Proficiency Testing Providers (PTP) accreditation program (ISO/IEC 17043) in addition to existing Testing including Medical (ISO/IEC 17025 and ISO 15189) and Calibration (ISO/IEC 17025) programs.

QCI's successful record of accomplishment and reputation demonstrates its competence and capabilities across industries. QCI have collaborated in various ambitious projects of the Central and State Governments and have played a critical role in creating an ecosystem for Quality. Some of the highlights of QCI's key projects are listed below:

Projects	Key Highlights
Swachh Bharat Mission-ODF (2019)	- QCI verified and certified 4041 cities and towns on the parameters of ODF, in line with the objective of making India ODF by 2019 as stated in the Swachh Bharat Mission for MoHUA. - The project involved survey assessment of self-declared Urban Bodies through document verification and on-site inspection.
Data collection and validation of 266 cities for Urban Outcomes Framework (UOF) (2022)	- Quality Council of India (QCI) has been appointed as the nodal agency for data collection of Urban Outcomes Framework (UOF) 2022 by the Ministry of Housing and Urban Affairs (MoHUA) where National Institute of Urban Affairs (NIUA) is leading the assessment exercise. - More than 400 data points are collected from 229 cities by providing them virtual and physical support and conducting weekly training sessions. - QCI also conducted Citizen Perception Survey (CPS) via offline and online modes and collected more than 8 Million surveys
Assessment of ICCC in the 12 smart Cities (2023)	- The Ministry of Housing and Urban Affairs (MoHUA) engaged QCI to conduct the Assessment of ICCC at 12 Smart Cities to assess the capabilities of the ICCC to prevent incidents, identify and respond to alerts in real-time and analyse the response mechanisms in place. - The assessment approach was a mix of document collection and verification, direct observations and discussion with the stakeholders. A team of two assessors were deployed in each city for a period of more than a month. - The collected data was validated in real-time by a team of experts, based on which the key findings were derived and actionable measures were recommended.

Socio-Economic Profiling of PM SVAnidhi Beneficiaries	- QCI has been appointed by MoHUA to assist in preparing the socio-economic profile of street vendors covered under PM-SVANidhi Scheme, for which QCI has developed a web portal and a mobile application to capture and reflect the data. - More than 22 lakhs street vendor beneficiaries and more than 51 lakhs family members have been profiled. - More than 54 lakhs schemes have been sanctioned to eligible members under eight different schemes. - QCI has now integrated 'Image Recognition Artificial intelligence' with 'SVANidhi Se Samridhhi' portal for capturing and validating street vendor photographs during profiling. The functionality was tested/ conducted pilot in two ULBs and now the same is live in all 3514 ULBs.
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QCI by virtue of its role in quality and accreditation infrastructure has been receiving a large number of projects from various Central Ministries/Departments and State Governments on nomination basis.

4. SCOPE AND OBJECTIVE

The proposed study aims to evaluate the effectiveness and impact of the Credit Linked Subsidy Scheme (CLSS) under the Pradhan Mantri Awas Yojana (Urban) in addressing the housing needs of various segments of the urban households in India. The study will focus on assessing the implementation of CLSS across different states/regions, identifying challenges, analyzing opportunities for improvement, and recommending strategies to enhance the program's outcome in future.

Broadly, the assessment aims to achieve the following outcomes linked with the specific objectives:

Objectives	Outcomes
1. Create a socio-economic profile of selected beneficiaries.	A focused analysis of CLSS beneficiaries comprising of income levels, employment status, family composition, educational background, and other relevant factors captured by CLAP.
2. Assess the impact of the CLSS component of PMAY (U) scheme in meeting the housing demand of urban households that belong to EWS, LIG, MIG-I and MIG-II along with gauging its social impact.	Identify the reasons that have led to the success of the scheme along with capturing feedback from the beneficiaries to understand the impact it has created on their quality of life.
3. Evaluate the strategies used by the private and public sector financial institutions in providing benefits under CLSS.	Comparing the different approaches used by the financial institutions around factors such as loan disbursement processes, outreach efforts, and customer service to identify the inclination of beneficiaries towards certain institutions/States.
4. Capture feedback from a sample of Non-CLSS beneficiaries of the scheme from a specific time period.	

	• Gather feedback from the people who had applied for the CLSS scheme but did not become a beneficiary (termed as 'Non-CLSS beneficiary').
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5. METHODOLOGY

The assessment will employ a mixed approach, combining quantitative survey, qualitative interview, and desk review to gather comprehensive data. A pre-defined sample of CLSS and Non-CLSS beneficiaries will be selected from different states and regions (sample distribution to be revised and shared by the ministry), ensuring diversity in socio-economic backgrounds and geographic locations.

Quantitative data will be collected through structured surveys conducted both telephonically and in-person, with a proportional distribution (85:15) that may vary based on practical considerations. Qualitative insights will be gathered through Focused Group Discussions (FGDs) with selected financial institutions. Additionally, a desk review of existing data captured by MoHUA related to CLSS beneficiaries will be conducted to analyze the varied profiles of the beneficiaries.

The research methodology would be developed in consultation with experts and stakeholders, ensuring its robustness and obtain findings aligned with the objective of the assessment as detailed below:

Step 1: Design of the Assessment

The proposed methodology for the impact assessment of CLSS would be a combination of quantitative survey, qualitative interview, desk review, and may also include some outreach strategies. For this purpose, three questionnaire(s), each for CLSS beneficiaries, non-CLSS beneficiaries and PLIs will be developed in-consultation with experts and stakeholders aligned with the assessment to gather the concrete data. This multifaceted approach would capture diverse perspectives and insights into the implementation, challenges, and impact of CLSS across different beneficiary segments and geographic regions.

Step 2: Sampling Strategy

- a) Sample Selection: A representative sample of CLSS beneficiaries/non-beneficiaries from the target years would be selected from various selected cities across India as per the Terms of Reference (ToR) received from the Ministry of Housing and Urban Affairs (MoHUA) from categories of EWS, LIG, MIG-I, and MIG-II.
- b) Sample Size: Aligned with the ToR the total target sample of CLSS beneficiaries/non-beneficiaries is further categorized into 30% of EWS, 40% of LIG, 20% of MIG-I and 10% of MIG-II category. It may be considered while computing the sample size and might be followed during the survey implementation based on the response rate from beneficiaries/non-

beneficiaries and support from MoHUA. The sample size of the city would be determined based on statistical considerations utilizing stratified random sampling approach ensuring the aforementioned ratios, wherever possible. The sample size may be adjusted to account for variations in population density and scheme uptake across different regions (State/Cities).

According to the ToR, the study will encompass a total sample size of 40,000 individuals, consisting of 30,000 CLSS beneficiaries and 10,000 non-CLSS beneficiaries. Among these, 25,500 beneficiaries and 8,500 non-CLSS beneficiaries will be surveyed through the online methods (i.e. 85% of their total respective sample sizes). The remaining 4,500 beneficiaries and 1,500 non-beneficiaries will be surveyed via the offline method (i.e. 15% of their total respective sample sizes). QCI would deploy its empaneled surveyors on-ground with assistance from the Ministry to collect feedback from the individuals.

Moreover, for the non-CLSS beneficiaries, data will be sourced from 25 Primary Lending Institutions (PLIs). This data will include details of non-CLSS beneficiaries who received home loans from PLIs specifically in March 2019 and September 2019, as specified in the TOR.

- c) Sampling Method: Within each stratum, systematic sampling or cluster sampling methods may be used to select individual beneficiaries for participation to ensure proportional representation of different beneficiary categories and geographic region.

Step 3: Pilot Study

To ensure the feasibility of our methodology, a pilot study will be conducted in 1-2 cities over a period of 5 days. The pilot study will only cover CLSS beneficiaries and non-CLSS beneficiaries to identify any potential challenges or limitations and make necessary revisions to optimize the suggested assessment design/method.

Upon completion of the pilot study, a brief report will be submitted, summarizing the findings and lessons learned. Based on the outcome of the pilot study, the methodology may be refined and modified as needed to ensure its effectiveness in reaching the assessment target audience.

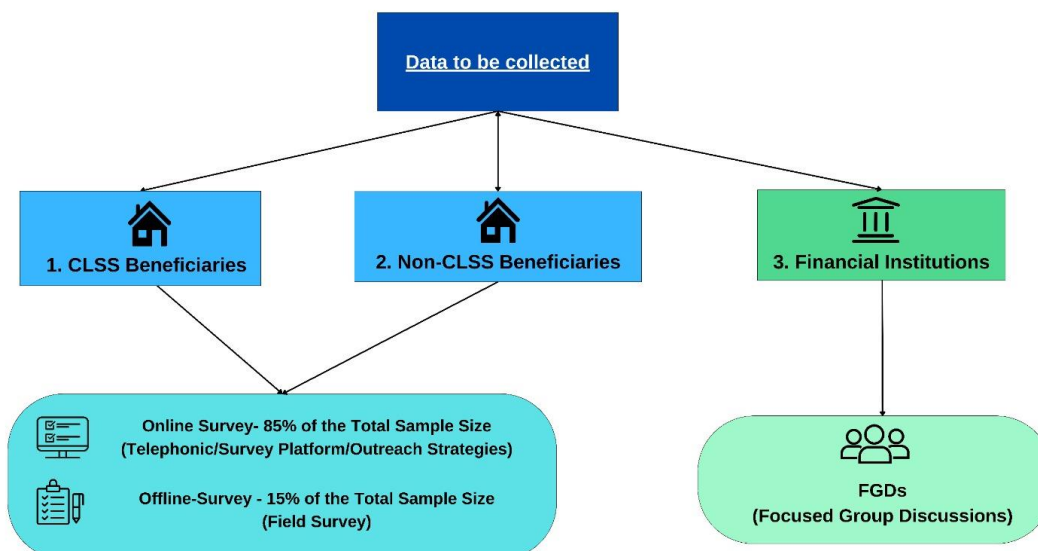


Figure: Snapshot of the Data to be collected from and methods

Step 4: Training of Field Surveyors

To ensure a rigorous assessment process, qualified surveyors with a minimum of 2 years of professional experience will be selected for deployment. These surveyors will be sourced from inspection bodies accredited by the National Accreditation Board for Certification Bodies (NABCB), a constituent board of QCI. These inspection bodies adhere to international standards and possess extensive experience in conducting inspections and precise testing on a large scale.

Prior to deployment, all the surveyors will undergo comprehensive technical training to acquaint themselves with the assessment framework. This training will ensure a deep understanding of the evaluation criteria and methodologies. Additionally, they will receive ethics training to reinforce the importance of upholding the highest standards of conduct and professionalism throughout the assessment process.

Step 5: Methods to be used for collecting Data

- i. Telephonic Survey: Telephonic survey will serve as the primary method for collecting qualitative data from CLSS beneficiaries/non-beneficiaries. An approved survey questionnaire(s) with a maximum of 25 questions will be used to gather information on housing conditions, loan utilization, satisfaction levels, and socio-economic characteristics.
- ii. Survey Platform: Leveraging successful survey platforms from existing third-party web applications may also be considered for outreach to a broader audience of CLSS beneficiaries.
- iii. Focus Group Discussions (FGDs): FGDs will be conducted either online or offline with key stakeholders, including housing finance institutions and implementing agencies, with assistance from the ministry. These qualitative interviews will provide deeper insights into

loan disbursement processes, outreach efforts, and customer service related to CLSS implementation and impact.

- iv. Outreach Strategies: As part of outreach efforts to raise awareness and communicate the assessment objectives, collaboration with CNAs and PLIs will be explored. These stakeholders can leverage their existing relationships with applicants to enhance the success rates of the impact assessment. Additionally, to reach target beneficiaries and non-CLSS beneficiaries, outreach will include the distribution of SMS and WhatsApp messages. These platforms will facilitate direct communication and engagement with the target audience, ensuring maximum participation and coverage in the assessment process.
- v. Field Surveys: A subset of 6,000 (4,500 CLSS beneficiaries and 1,500 non-CLSS beneficiaries) would be surveyed in the field by QCI empaneled surveyors. The survey would be done through a license-based tech platform that QCI will develop to have objectivity and capture required data. The tech platform will be available with all the field surveyors to ensure smooth execution of the survey as the data will be synced on a real-time basis and monitored by the QCI team. All the forms will be geo stamped.

Note: In case, if there will be no participation from the selected beneficiaries/non-CLSS beneficiaries or lack of support from the stakeholders including Ministry then the city will be dropped, and efforts will be made to capture the difference from another region/method thus making room for revision in the pre-defined percentages of beneficiary categories.

Step 6: Implementation of the selected Methods

The plan is to commence the assessment in a phased-wise manner with first covering the beneficiaries and then the non-beneficiaries. In addition, the FGDs will be conducted simultaneously with the assessment in collaboration with the ministry.

The central team at QCI will cross-verify with CLSS beneficiaries and non-CLSS beneficiaries to confirm receipt of survey calls to 5% of the total sample size (covered via telephonic survey).

Step 7: Analyzing the collected data

As a part of the Desk Review, focused analysis will be conducted on the beneficiary data collected by the Ministry to understand the beneficiary profiles and program status by the QCI central team. Also, the quantitative data collected through surveys will be analyzed using statistical techniques, whereas qualitative data from interviews and FGDs will be analyzed thematically to identify key themes, patterns, and insights.

Step 8: Reporting and preparation of final Report

Based on the insights and outcome of the analysis, a report will be prepared summarizing the study findings, analysis, and recommendations. Overall, the study aims to provide actionable insights and recommendations for enhancing the effectiveness and impact of CLSS in addressing the housing needs of urban households in India.

6. PROPOSED TIMELINE

PROCESS	TIMELINE									
	T+5	T+10	T+15	T+20	T+25	T+30	T+35	T+40	T+45	T+50
Designing of the Assessment & Sampling Strategy										
Pilot Study										
Training of On-Field Surveyors and Development of Survey Tech-Based Application										
Roll-Out of the Assessment via Online & Offline Modes										
Data Review & Analysis										
Preparation and Submission of Draft Report										
Preparation and Submission of Final Report										

Note:

- 1) 'T' here is the date of issuance of work order by the Ministry and acceptance by QCI.
- 2) In this proposed timeline, mandatory holidays are excluded, indicating non-working days.

7. FINANCIALS

A. Project Implementation Team					
Particulars		Unit cost (Man-Month)	Unit	Duration (in months)	Total (INR)
Expert		₹ 3,00,000	1	0.5	₹ 1,50,000
Project Head		₹ 2,00,000	1	1.5	₹ 3,00,000
Central Team	Operations Manager	₹ 1,00,000	1	1.5	₹ 1,50,000
	Survey Lead	₹ 70,000	4	1.5	₹ 4,20,000
	Coordinator	₹ 45,000	10	1.5	₹ 6,75,000
Data Analyst		₹ 70,000	1	1	₹ 70,000
Report Writer		₹ 70,000	1	1	₹ 70,000
Sub-Total (A)					₹ 18,35,000
B. Data Collection					
Particulars		Unit			Total (INR)
Telephonic Survey		Lumpsum			₹ 24,96,600
On Ground Survey		Lumpsum			₹ 26,65,000
Sub-Total (B)					₹ 51,61,600
C. Technology Support (for 1 Month)					
Particulars		Unit			Total (INR)
Survey Technological-Based Application		Lumpsum			₹ 25,000
Outreach Activities		Lumpsum			₹ 1,87,200
Sub-Total (C)					₹ 2,12,200
D. Final Project Report					
Particulars					Total (INR)
Design & Report (1 unit)					₹ 50,000
Sub-Total (D)					₹ 50,000
Sub-Total's (A+B+C+D)					₹ 72,58,800
Admin Cost (12%)					₹ 8,71,056
Grand Total (without GST)					₹ 81,29,856

Note:

- GST to be charged as per the norms (18% on the Grand Total).
- The financial calculation mentioned above is limited to the Terms of Reference (ToR) provided by the Ministry of Housing and Urban Affairs (MoHUA).
- Any revision of scope or modification in the percentage of online and offline methods then additional cost will be charged separated and will not be adjusted in the proposed financials.
- In case of any delay in the on-field assessment due to concerns pertaining to change of a procedure, lack of support by the engaged stakeholders etc., that results into additional man-day will be considered as extra cost will be charged to MoHUA separately.
- Travel cost is included in the Man-Day rate of surveyors engaged for on-ground survey.

8. TERMS OF PAYMENT

The table below shows the terms of payment to be made for the project:

Milestone or Reporting Deliverable	Project Amount to be disbursed to QCI
Award of Work-Order	40%
Completion of data collection	40%
Submission of Final Report	20%
Total	100%

9. SUPPORT REQUIRED

1. Appoint a Single Point of Contact (SPOC) for all the future communication and support.
2. MoHUA to share the complete state-wise data set related to CLSS beneficiaries (name, phone number, address, beneficiary category etc.) for the suggested target year for which assessment will be conducted to help facilitate the study.
3. Access to data from 25 PLIs for surveying non-beneficiaries. This data will encompass details of non-CLSS beneficiaries who received home loans from PLIs specifically in March 2019 and September 2019, as indicated in TOR.
4. Issuance of official authorization letter from the Ministry to QCI endorsing the survey task and providing necessary permissions and support for data collection activities, wherever required.
5. Provide all the necessary support to organize Focus Group Discussions (FGDs).
6. MoHUA to share any other information/assistance as requested by QCI for the project execution and completion.